



INTERNAL MEMO

DATE: 19.05. 2015
FROM: Manager Clearing
TO: General Manger Operations.

SUBJECT: INCOME LEAKAGE ON UPAD CHEQUE COMMISSION ON ACCOUNTS WITH INSUFFICIENT BALANCES.

Background:

After cheques are unpaid on customer accounts in the system, commission for unpaid cheques is supposed to be automatically collected on each of the accounts. This however, when done automatically, it overdraws accounts with insufficient balances and they remain attracting further interest, which is collected into our income accounts and later written off from the overdrawn accounts.

Some accounts with insufficient balances remain overdrawn for a long period of time and attract monthly interest charges and the bank is forced to write off.

So collection of unpaid cheque charges is being done manually to only those accounts with sufficient balances and sometimes half payments are collected and leaving uncollected balances for daily manual monitoring of accounts.

This manual collection of unpaid cheque commission charges has the following weaknesses:

1. Time consuming to monitor over 300accounts daily.
2. Some accounts deposit and charges not collected as monitoring is inconsistent.
3. Tedious to monitor and place liens on all accounts and yet some accounts are abandoned after cheques are bounced.
4. Income leakage and as collection of charges is not uniformly done.

Request and Recommendation:

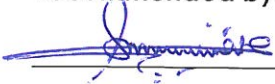
It is on this background that we recommend the following measures to manage collection of unpaid cheque commission;

1. Track Receivables functionality to accommodate auto collection of charges from customers' accounts as and when they deposit money on their accounts, without overdrawing until final collection.

Benefit:

No income leakage since, upon unpaying of a cheque on the customer's account, an auto lien (in form of accounts receivables) will be created and when the customer deposits the charges will be picked, without any manual intervention and no further cheques can be paid before completion of payment of previous charges.

Recommended by:



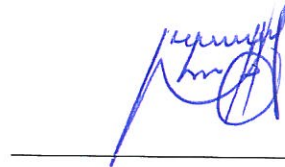
Enid Katusiime

Manager, Clearing

Approved By:



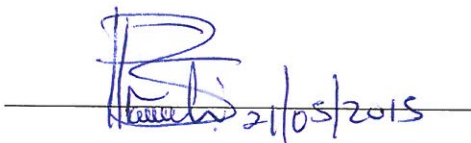
Moses Ebitu



Henry Otto Obwoya

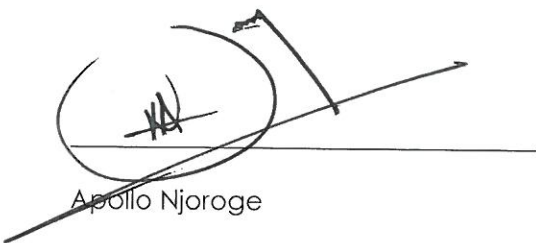
Head of Operations

General Manager Operations



Frank Balabyeki

Head of Risk & Compliance



Apollo Njoroge

Ag. Managing Director

Request for Change Form

To be completed by the Change Initiator:

Name and PF-no:

KATUSIME ENID

EK 22144

Date RFC Raised:

20/5/2015

Date Change is Required By:

Project Name:
(if applicable)

System or Configuration Item to be changed:

FINACLE

RFC Number:

RFC Status:

Status Options: New,
Awaiting Assessment,
Assessed, Rejected by CM,
Authorised, Rejected by
CAB, In Build, In Test,
Awaiting Implementation,
Implemented, Awaiting
Review, Closed

Change Request Information

Proposed Change Description:

The requester provides information concerning the requested change along with any supporting documentation

Track Receivables as Per attached Memo.

Reason/Business Justification for the Change:

Stop Income leakage

Impact to Business for not Implementing the proposed Change:

Continued Income Leakage

Required resources – including people, time and investment:

Describe the Impact of Change on other Configurations Items (CI):
(if applicable)

Change Initial Approval

[The Head of Department, Project Manager, Program Manager, or other designated Manager conducts an initial review and makes a recommendation(s) regarding the implementation of the request before it is proposed to an established Change or Configuration Management Review Body. Results and recommendations based on the review are provided in this section.]

Review Date: 20/05/2015

Managers Name: Obwangwa

Position (Project Relationship): Am - Operations

Approve for Implementation

___ Reject

___ Defer Until: ___

Rational for Recommendation:

General Manager Operations

Change Build: To be completed by the Change Builder		
Date Change Building Completed:		
List the steps Required to complete Change:(attach Release& Deployment doc)		
Change Dependencies Identified:		
Downtime required ☐ YES ☐ NO	Outage window:	☐ outage start:
		☐ outage-End
Signature		Date

Change Testing: To be completed by the Change Tester	
Date Change Testing Completed:	
Details of type of Testing Carried out:	
Change Dependencies Identified:	
If Change Failed Testing, Reason for Test Failure: (if appropriate)	
Date RFC returned to start of the process for Re-assessment	
Back Out Plan tested: _____ YES _____ NO	If NO, Explain
Change Tester	
Signature & Date	

Post Implementation Review : To be completed by the Change Implementer	
Change Communicated to:	
Scheduled Implementation Date :	
Date Change Actually Implemented:	
Was it successful? _____ YES _____ NO Comments on the success/failure:	
Issues Encountered:	
Back out Plan Implemented: _____ YES _____ NO Back out Authorized By:	
Date Back out Communicated to the Change Manager:	

Post Implementation Review (To be completed by Change Manager)	
Date Change Reviewed	
Change reviewed by	
Change successful: (Y/N)	
Back out Deployed successfully (if required): (Y/N)	
If Back out Deployed – Date initiator Informed	
Date RFC returned to start of the process for Re-assessment	
Review Details/ Change to become a Procedure: (Y/N)	
Name:.....Signature & Date:.....	